Zheyuan (Kevin) Cui

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References

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Education

2021 – 2027 (Expected)	**Princeton University** Ph.D. Candidate in Economics, Bendheim Center for Finance Expected Graduation: May 2027	Princeton, NJ, USA
2019 – 2021	**University of California – Los Angeles** M.A. in Mathematics (Ph.D. Course Track)	Los Angeles, CA, USA
2017 – 2021	**University of California – Los Angeles** B.S. in Applied Mathematics (Highest Honor), Economics (Highest Honor)	Los Angeles, CA, USA

Research Interests

Asset Pricing, Fixed Income, Financial Intermediary, AI & Productivity

Job Market Paper

Term Structure with Investor Tax Heterogeneity: Application to the Muni Puzzle [Link to Paper] [SSRN]

Abstract: Investors pay different taxes on the same bonds. I develop a term-structure model in which investors with heterogeneous taxes and balance sheets choose jointly between taxable and tax-exempt bonds at every maturity and cannot sell short. Taxes and balance sheets determine who holds each bond, creating partial segmentation, and whose tax rate a yield reflects varies with maturity. I apply it to the municipal bond puzzle. The literature's standard benchmark for tax-exempt municipal yields is the after-tax taxable yield of top-bracket households, who face the highest tax rates and value the exemption most. Short municipal yields closely match this benchmark, but long yields exceed it by 117 basis points at thirty years. Lower-tax investors

whose liabilities offset interest-rate risk bear that risk more cheaply and participate in long municipal bonds despite smaller exemption benefits. Equilibrium long yields then reflect their lower tax rates and exceed the benchmark. Without targeting municipal yields, the calibrated model explains 83 percent of the thirty-year gap. Empirically, household tax effects weaken with maturity, while lower-tax institutions' tax effects strengthen, consistent with the model's predictions. Making municipal interest taxable would raise issuers' borrowing costs by more than the added tax revenue, and part of the increase would fall on taxable issuers.

Publication

The Effects of Generative AI on High-Skilled Work: Evidence from Three Field Experiments with Software Developers *with Mert Demirer, Sonia Jaffe, Leon Musolff, Sida Peng, Tobias Salz.* [Link to Paper]

Coverage: *New York Times, 2025 Economic Report of the President*
***Management Science*, Forthcoming**

Abstract: This study evaluates the effect of generative AI on software developer productivity via randomized controlled trials at Microsoft, Accenture, and an anonymous Fortune 100 company. These field experiments, run by the companies as part of their ordinary course of business, provided a random subset of developers with access to an AI-based coding assistant suggesting intelligent code completions. Though each experiment is noisy and results vary across experiments, when data is combined across three experiments and 4,867 developers, our analysis reveals a 26.08% increase (SE: 10.3%) in completed tasks among developers using the AI tool. Notably, less experienced developers had higher adoption rates and greater productivity gains.

Working Papers

Familiarity in International Equity Investment: Concentrated Value, Pervasive Allocation Bias *with Yinan Qiu. [Link to Paper]*

Abstract: Does familiarity convey information or produce bias? Using 2000–2024 data from 1,663 active U.S. international equity funds and managers' foreign education as a familiarity proxy, we examine both country allocation and stock selection. Funds overweight education-linked countries, yet these sub-portfolios do not outperform. Within familiar countries, the most active quartile of stocks earns a monthly five-factor alpha of 41 basis points, while the remaining holdings earn no significant alpha. The overweight persists after removing top-quartile stocks. Familiarity's value is concentrated, its allocation footprint pervasive: information and bias coexist at margins that country-level averages obscure.

Public Debt Resolution and the Relocation of Local Information Rents: Evidence from Bank Wealth-Management Products in China *with Tao Shen, Tianqi Zhi.*
Draft available upon request

Abstract: China's 2023 program to defuse local government debt risk had an unintended cost for small local banks, which compete with national banks in the RMB 30 trillion wealth-management market through local credit. Their products hold three times the portfolio share of local government financing vehicle (LGFV) bonds that national banks' products do, mostly from their home provinces, and these holdings deliver the higher returns and fewer losses that attract return-chasing investors. By moving LGFV risk onto provincial balance sheets, the program compressed credit spreads within and across provinces. The premium on home-province bonds fell by two-thirds, and local banks retreated. The premium largely survived in non-standard debt, negotiated claims

with no public price, but only the largest local banks had the scale to move into it. De-risking public bonds relocated the return to local information into opaque claims that require scale, and the smallest banks lost most.

Tradeoff between Segmentation and Asset Fragility – Evidence from Municipal Bond Market

Abstract: In this paper, I document a novel finding of larger asset fragility in the less segmented markets in response to aggregate flow shocks. Empirical results suggest that the less segmented markets have larger correlations with aggregate flow. While the less segmented markets drop less in asset price in response to small outflow, these markets are less liquid and more fragile in response to large aggregate outflow. I then develop a new three-layer demand system with multiple extensions to the original one-layer demand system. Importantly, I include the layer of liquidation order, and propose a new instrument named mandate flow-induced trading (MFIT) in demand estimation. The demand system highlights the arbitrageurs' differential behaviors across markets with heterogeneous levels of segmentation. While the arbitrageurs tend to liquidate first and proportionally liquidate more in the more segmented market in response to flow, they have much larger elasticity in the more segmented market. The numerical results using the new demand system produce the asset price dynamic estimates that are qualitatively and quantitatively consistent with the empirical results.

Work in Progress

Relief without Resolution: Growth Targets and the Hidden Credit Risk of China's Local Government Debt *with Tao Shen, Wei Xiong, Tianqi Zhi.*

Abstract: We show that the debt of China's local government financing vehicles (LGFVs) was built in different ways. Some provinces accumulated large debt stocks through dense networks of LGFVs built long ago; others borrowed to hit growth targets their economies could not deliver. With rationed access to the bond market, these overly ambitious provinces leaned on nonstandard debt: opaque, costly loans from trusts and leasing companies. They later suffered more defaults on nonstandard debt, slower growth and larger state rescues. The 2023 debt resolution program, which refinanced LGFV debt with government bonds, was meant to resolve this risk but largely transferred it. Bond prices stopped reflecting the fundamentals of LGFVs and their local governments; that information moved into nonstandard debt, whose spread over the same borrower's bonds widened by more than 150 basis points. Relief made the bond market look safe while pushing the risk that growth targets created into the most opaque and costly corner of local government finance.

Languages

Chinese (native), English (fluent)
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